

Northgate Talent Partners LLC

www.northgatetalent.com

March 15, 2023

David McGee
General Manager
Hicks-Castillo

Dear David,

Thank you for asking us to take on your compensation benchmarking. This letter sets out how we will carry out that work for Hicks-Castillo, and the terms we will work under. We treat a retained engagement as a partnership. So we like to begin with everything written down plainly, before any of the work starts, and this letter is that beginning.

The Work You Have Asked Us to Do

You want to know, with confidence, where the pay of your senior team sits against the companies you actually compete with for that talent. It is a fair question and a harder one than it sounds, because a good comparison depends entirely on choosing the right peers and reading the numbers honestly. Our task is to gather that market data with care, to test it against what we see in our own placement work, and to bring you a picture you and your board can act on. We work on a retained basis. That means we work for you alone on this study, and we stay with it until the findings are in your hands and you have had the chance to talk them through with us.

The study moves through a few clear stages, and I want you to know the shape of it from the first day.

- First, we agree the scope with you: the roles in view, the peer group we will measure you against, and the questions your board most wants answered.
- Second, we assemble the market data, drawing on both the published compensation surveys and what we learn firsthand placing senior people, and we clean it so that every comparison is a fair one.
- Third, we analyze the findings role by role, across base pay, incentive, and total compensation, so that nothing hides inside a single blended number.
- Fourth, we bring you a written report, and we sit with you and your board to walk through what it means and where you may want to act.

None of this is guesswork. The value of a benchmark comes entirely from the honesty of the comparison behind it, and most of our effort goes into getting that comparison right before a single figure reaches your board. A smaller set of numbers we can stand behind completely will serve you better than a thick report no one can quite trust, and that is the standard we hold ourselves to.

Who Will Do the Work

I will oversee this engagement myself, and I remain your point of contact whenever you want one. Sandra Fuentes, a Principal in our practice, will lead the study day to day and own the relationship with you from the first conversation to the last. David Weiss, a Research Associate on our bench, will do the market research and the careful data-gathering the whole study rests on. It is a small team by design. You will always know who is doing your work, and you will rarely have to explain yourself twice.

Our Fee, and When We Begin

For a study of this kind we work to a fixed professional fee of \$75,000. That fee covers the whole of the work, from the scoping conversation through to the final report and our presentation of it to your board. It does not move with the size of the findings or the hours the work takes. You know the cost at the outset. We expect to begin on March 25, 2023, and the study runs for something on the order of eight months from there, allowing for the survey cycles that the good comparisons depend on.

Fees and Payment

We bill the fixed fee in three parts, tied to the milestones of the study: on your signing of this letter, on the delivery of our draft findings, and on the final report. Invoices are due on receipt. Any reasonable direct cost we arrange at your request, such as a purchased survey your board specifically wants included, we pass through at cost and only with your agreement in advance, so nothing on an invoice is ever a surprise.

The Length of the Engagement, and Ending It

The engagement runs from your signature until the report is delivered and our final invoice is settled. Either of us may end it sooner, in writing. We ask only for a short conversation first, so that nothing ends on a misunderstanding. If you close the study early for a reason unrelated to our work, we bill for the work done to that point and no more.

Holding Confidence

Compensation is the most guarded number a company keeps, and we treat it that way. What you tell us about your own pay, and everything we assemble about the market, stays confidential and is used only for this work. Inside our office, access sits with the people named above and with anyone whose work on the study requires it. We extend the same care to the comparator data. We report the market in aggregate, never in a way that would expose what any one company pays a named person.

Where Our Liability Sits

We give this study our best professional judgment, and we stand behind the care we take. Still, the compensation decisions you make from our findings are finally yours, and we cannot warrant the outcome of choices we do not control. Our liability to you under this engagement, whether framed in contract or in negligence, will not exceed the total fees you pay us for the work.

The Law That Governs Us

This agreement is governed by the law of the state in which our office sits, without regard to its conflict-of-laws rules. Should any dispute arise, we will each make a genuine effort to settle it in conversation before either of us turns anywhere else.

If these terms read as we agreed them, the next step is a simple one. Please sign both copies where shown below, keep one for your file, and send the other back to me. That single signature is all we need to begin. If anything here gives you pause, call me first, and we will settle it before you sign.

With warm regards,

Kelly Chavez

Managing Director

Date: March 15, 2023

David McGee

General Manager, Hicks-Castillo

Date: March 15, 2023